2. The liability sought to be imposed must be relevant to that nexus.

In *TISCO* case[21] (1958), the Supreme Court applied the doctrine to the sales-tax law. In this case, the court observed that this doctrine does not impose the tax, but it only indicates the circumstances in which a tax imposed by a law shall be enforced in a particular case.

In *NTPC* case[22] (2002), the Supreme Court has explained the doctrine in the following way:

"It is by reference to the ambit or limits of territory by which the legislative powers vested in parliament and the State Legislatures are divided in Art. 245. Generally speaking, a legislation having extraterritorial operation can be enacted only by Parliament and not by any State Legislature; possibly the only exception being one where extra-territorial operation of a State legislation is sustainable on the ground of territorial *nexus.* Such territorial *nexus,* when pleaded must be sufficient and real and not illusory."

3. Application to Non-Tax Laws

The doctrine of territorial nexus is applicable not only to tax laws like income-tax law, law imposing a tax on gambling and sales-tax law but also to other kinds of laws.

Thus, in *Charusila Dasi* case[23] (1959), the Supreme Court held that a State Legislature is empowered to make laws with respect to charitable and religious trusts situated within the territory of the state even though some part of the trust property is situated in another state. As a natural corollary to this, the State Legislature is also empowered to make laws in respect of the trustees, their servants and agents who are in that state to administer the trust. Accordingly, the court upheld the validity of a law made by the Bihar Legislature with respect to trust property situated in the state of West Bengal.

Likewise, in *Shrikant* case[24] (1994), the Supreme Court held that the Gujarat State was empowered to make the law so as to provide that the ceiling of agricultural land of a person in that State could be determined by taking into account the agricultural land held by him outside that state also. Accordingly, the court upheld the validity of the Gujarat Agricultural Land Ceiling Act (1960).

4. Exceptions to the Doctrine

The doctrine of territorial nexus is not applicable in the following two situations:

1. When a state government (while acting under the Motor Vehicles Act – a Central legislation) approves a scheme for inter-state routes for the State Transport Undertaking. In *Khazan Singh* case[25] (1973), the Supreme Court upheld the validity of a Uttar Pradesh scheme nationalizing certain routes between that State and the State of Rajasthan.

2. When a state carry on trade and business under the provision of Article 298. In the same *Khazan Singh* case[26] (1973), the Supreme Court held that the trade and business to be carried on by a state need not be restricted to the area within its boundaries.

DOCTRINE OF PITH AND SUBSTANCE

1. Meaning of the Doctrine

Article 246 deals with the division of legislative powers between the Parliament and the State Legislatures. It specifies the different subjects of legislation in three lists, namely, List I (Union List), List II (State List) and List III (Concurrent List). Accordingly, the Parliament or a State Legislature should make